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Here's what the California Legislature passed in 2026

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(The Center Square) – California's 2025-2026 legislative session wrapped on Tuesday, ending a nearly 21-month-long stretch of passing bills that will impact 39.5 million Californians throughout the state.

Among the most impactful bills were budget legislation, a housing bond and bills that address public safety.

Here are some of the biggest bills that passed in 2026.

Assembly Constitutional Amendment 20

The "Save for California's Future" Act, authored by Assemblymember Jesse Gabriel, D-Encino, will increase the amount of money the state puts away in reserves each year.

Effectively the equivalent of California's savings account, the Budget Stabilization Account will see an increase from 10% to 20% of the state's general fund revenues during good fiscal years, according to a legislative analysis of the bill. The extra funds deposited in strong budget years would be available during fiscal years when revenues decline.

The bill also puts a constitutional amendment on the Nov. 3 ballot as Proposition 2, which will allow California voters to decide whether to increases the state's "Rainy Day Fund."

"For over a decade, nonpartisan experts have been warning us that we need to grow California's rainy day fund, and we've seen that taxpayers pay the price every time a downturn forces sudden cuts to schools, health clinics, public safety and other essential services," Gabriel told The Center Square in a written response sent on Wednesday. "ACA 20 put Proposition 2 on the ballot so voters will have the chance to fix this problem by requiring the state to save more in good years. It's a commonsense reform that protects taxpayers from boom-and-bust budgeting."

Senate Bill 417

SB 417, also called The Veterans and Affordable Housing Bond Act of 2026, was authored by Senate President Pro Tempore Monique Limón, D-Santa Barbara, and gives California voters the chance to decide whether to let the measure take effect.

The bill would allow $11.25 billion of general obligation bonds to pay for housing programs for veterans, youth, students and those experiencing homelessness, according to the bill analysis. Approximately $5.1 billion would be allocated to the state's Multifamily Housing Program, with at least 10% of units designated for extremely low-income households, while $1.25 billion would be allocated to the CalVet Home Loan Program. Approximately $1.15 billion would be allocated to supportive housing under the umbrella of the Multifamily Housing Program.

"This bill dedicates more than $11 billion to not only increase supply across our state, but also to ensure that Californians from all income levels can keep a roof over their head," Limón said at a June press conference announcing the bond. "Affordability is not just a one-and-done."

In addition, $150 million would be used for youth housing, $750 million to affordable housing projects under the California Department of Housing and Community Development's Portfolio Reinvestment Program, $500 million to the Infill Infrastructure Grant Program, and $450 million to the Serna Program, which fund grants and loans to pay for construction and rehabilitation for agricultural worker housing.

California's budget bills

California's budget legislation, coming in at roughly $350 billion, was passed at the end of June and signed immediately by Gov. Gavin Newsom. The budget includes $251.1 billion for the general fund and $1 billion of Proposition 98 to community schools.

Other trailer budget bills increased the cap on the State Route 710 Rehabilitation Account to $15 million, up from the previously-allocated $1.2 million, according to previous reporting by The Center Square.

The Legislature passed the budget during a year that saw the Legislative Analyst's Office predict a $16.9 billion deficit through 2028. That was despite record revenues brought in by strong stock market activity related to a boom in artificial intelligence technology, The Center Square previously reported.

"I would like taxpayers to know that we took seriously the situation we're in," Sen. John Laird, D-Santa Cruz and chair of the Senate Budget and Fiscal Review Committee, told The Center Square on Tuesday. "So we balanced the budget for two years, put $35 billion in reserves, and cut the structural deficit in half, and did our best to triage against the federal cuts to the social safety net."

Assembly Bill 1577

Introduced by Assemblymember Rebecca Bauer-Kahan, D-San Ramon, AB 1577 requires data centers to report energy usage and information about energy efficiency to the state. The California Energy Commission, the agency tasked with overseeing compliance, would also have to include that data in a report expected to be released in 2029 and publish the data in an anonymized format for the public.

Under this bill, data centers also have to submit energy and efficiency information to local government agencies in the area in which they want to build or operate a data center, according to the bill analysis.

"This is yet another bill that ensures that data centers here in California work not just for the companies that are building them, but the constituents," Bauer-Kahan said on the Assembly floor on Aug. 27. "This is a transparency bill on energy. It would ensure that our rig is able to stand up to the needs of these data centers."

Senate Bill 904

This bill, authored by Sen. Kelly Seyarto, R-Murietta, requires state agencies to assist in expediting rebuilding permits for wildfire survivors by identifying state regulations that would slow down rebuilding and recovery.

The California Department of Housing and Community Development, along with other state agencies, will be required to submit reports to the governor and the Legislature outlining what those regulations are and recommend suspension of those rules, according to a legislative analysis of the bill.

"The reason I did the bill was because we keep trying to reinvent the wheel every time we have a big emergency," Seyarto told The Center Square on Wednesday. "Part of that wheel was found in the executive orders that were given by the governor after the state of emergency that was declared in the Palisades and Altadena. We've had several of those type of fires, and they all need that kind of attention."

That attention comes from agencies responsible for permitting, studies and other regulatory requirements that impede rebuilding and recovery, Seyarto said.

"What this does is it puts them on a timeline to identify areas that we can take advantage of to be able to get people back into their homes faster and recovery faster, no matter where the fire is," Seyarto said.

Assembly Bill 1776

The COMPETE Act, authored by Assembly Majority Leader Cecilia Aguiar-Curry, D-Winters, was introduced this year after concerns that large corporations based in California were engaging in anti-competitive behavior, threatening the Golden State's small businesses.

The legislation would prohibit anyone from conspiring to engage in behavior that could be considered to be monopolistic, as well as monopsonistic - where a single company has control over an entire market as the sole or major purchaser of goods or services.

"Markets have changed," Aguiar-Curry said during a February press conference announcing the legislation. "Industries have consolidated. When competition dries up, our families pay more; our small businesses struggle to compete. Our workers have fewer options and innovation slows down."

The bill was supported by small business owners, who said in the February press conference that large internet shopping platforms routinely "scraped" the websites of those small businesses, recreating product listings similar to those on sites of small businesses and steering customers towards larger shopping sites, according to previous reporting by The Center Square.

Assembly Bill 2727

Assemblymember Stephanie Nguyen, D-Elk Grove, introduced this bill amid calls for elderly parole reform. The bill increases the eligible age for elderly parole from 50 to 65 and requires those who were convicted of certain sex crimes to serve at least 25 years of their sentence for those crimes. The legislation also requires the state's Board of Parole Hearings to consider the results of a sexual dangerousness screening, among other things, when determining if someone qualifies for elderly parole after previously being convicted of certain sex crimes.

According to previous reporting by The Center Square, two convicts who were serving sentences for crimes against children were eligible for elderly parole this year. Gregory Lee Vogelsang, 57, was up for elderly parole in May. That parole hearing was met with intense opposition by lawmakers.

Another man, David Allen Funston, 64, pleaded guilty to new child molestation charges brought by the Placer County Sheriff's Office the day he was set to be released on elderly parole on a different case.

"This bill will put guardrails around these individuals who qualify for elderly parole to ensure the screening is going to say they can be released out in the community and not commit another sexual violent offense," Nguyen said when presenting the bill for a vote on the Assembly floor in May.

Senate Bill 1090

This bill, introduced by Sen. Sasha Renée Pérez, D-Pasadena, places a three-year moratorium on a previous state law, the Starter Home Revitalization Act, in an effort to help homeowners who lost their homes in the January 2025 Eaton Fire.

The 2021 law required cities and counties throughout the state to allow zoning to build more dense single-family housing in an effort to increase construction of homes to address California's housing shortage. However, after the Eaton Fire damaged or destroyed roughly 6,000 homes, that law was used to buy out homeowners who couldn't afford to rebuild their homes, Pérez previously said.

"As the rebuilding has begun and we've had this huge issue with outside investors and speculators making lowball offers to disaster victims, there's been real concern about those same developers utilizing these laws to try to increase density," Pérez told The Center Square on Tuesday. "I want to make sure that the pause is temporary over these next three years, and that we're giving folks time to rebuild."

Assembly Bill 2700

Former Assemblymember and current U.S. Rep. James Gallagher, R-Sutter County, introduced AB 2700 to help wildfire victims get restitution money after utility company-caused wildfires. Ultimately, the bill requires the California Energy Commission to compile a report due by Jan. 1, 2028 that assesses the restitution shortfalls for victims of wildfires that started before July 12, 2019. The bill also requires restitution mechanisms to be in place for electricity companies to pay restitution to those victims.

"It makes sure that our fire victims are fully compensated," Gallagher said of the bill in May. "There were people who were devastated. We lost community members. We lost homes. People lost everything in these fires."

Gallagher won a special election in June to the late U.S. Rep. Doug LaMalfa's seat and left the California Legislature to serve in Congress, according to previous reporting by The Center Square.

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